Central Goods and Services Tax Act, 2017 - Definitions, Tax Invoices & Returns (Sections 2, 31, 37, 39)

Section 2. Key Definitions under CGST Act, 2017.

Section 2 provides statutory definitions for terms used throughout the Central Goods and Services Tax Act, 2017:

Section 2(62): 'input tax' in relation to a registered person, means the Central tax, State tax, Integrated tax or Union territory tax charged on any supply of goods or services or both made to him and includes— (a) the integrated goods and services tax charged on import of goods; (b) the tax payable under the provisions of sub-sections (3) and (4) of section 9; (c) the tax payable under the provisions of sub-sections (3) and (4) of section 5 of the Integrated Goods and Services Tax Act; (d) the tax payable under the provisions of sub-sections (3) and (4) of section 9 of the respective State Goods and Services Tax Act; or (e) the tax payable under the provisions of sub-sections (3) and (4) of section 7 of the Union Territory Goods and Services Tax Act, BUT DOES NOT INCLUDE the tax paid under the composition levy (section 10).

Section 2(63): 'input tax credit' means the credit of input tax.

Section 2(82): 'output tax' in relation to a taxable person, means the tax chargeable under this Act on taxable supply of goods or services or both made by him or by his agent but excludes tax payable by him on reverse charge basis.

DISTINCTION BETWEEN INPUT TAX CREDIT AND OUTPUT TAX:
Input Tax Credit (ITC) refers to the tax paid by a registered business on its inward supplies (purchases of goods, services, capital goods, and raw materials used for business). Output Tax refers to the GST collected or chargeable on outward supplies (sales of goods or services) made by the taxable person. Under the GST framework, a registered business can set off / offset its Input Tax Credit against its Output Tax liability to determine the net tax payable to the Government.

Section 31. Tax Invoice.

(1) A registered person supplying taxable goods shall, before or at the time of,— (a) removal of goods for supply to the recipient, where the supply involves movement of goods; or (b) delivery of goods or making available thereof to the recipient, in any other case, issue a tax invoice showing the description, quantity and value of goods, the tax charged thereon and such other particulars as may be prescribed.

(2) A registered person supplying taxable services shall, before or after the provision of service but within a prescribed period, issue a tax invoice, showing the description, value, tax charged thereon and such other particulars as may be prescribed.

Section 37. Furnishing details of outward supplies.

(1) Every registered person, other than an Input Service Distributor, a non-resident taxable person and a person paying tax under the provisions of section 10 or section 51 or section 52, shall furnish, electronically, in Form GSTR-1, the details of outward supplies of goods or services or both effected during a tax period on or before the tenth day of the month succeeding the said tax period.

(2) The details of outward supplies furnished by the supplier shall be communicated to the recipient in Form GSTR-2A / GSTR-2B to enable the recipient to claim eligible Input Tax Credit.

Section 39. Furnishing of Returns.

(1) Every registered person, other than an Input Service Distributor or a non-resident taxable person or a person paying tax under section 10 or section 51 or section 52, shall, for every calendar month or part thereof, furnish a return in Form GSTR-3B, electronically, of inflows, outward supplies, input tax credit availed, tax payable and tax paid.

(7) Every registered person who is required to furnish a return under sub-section (1) shall pay to the Government the tax due as per such return not later than the last date on which he is required to furnish such return.